



Carleton Condominium Corporation No. 276
405 Sandhamn Private Ottawa, ON K1T 2Y9
admin@ccc276.ca

December 11th, 2024

Subject: 2025 Budget Package

Dear Owners,

On behalf of the Board of Directors, I am writing to present the approved 2025 Budget for Carleton Condominium Corporation No. 276. This budget will cover the period from January 1, 2025, through December 31, 2025. It is the outcome of a comprehensive review encompassing Operating Costs and Reserve Fund requirements.

Effective January 1st, 2025, there will be an adjustment in condominium fees, resulting in a 5.4% increase for the upcoming year, setting the new monthly fee at \$587.00.

Review of 2024:

Reflecting on 2024, we anticipate closing the year with a budget surplus of approximately \$10,000, or 2% of our overall budget. This surplus was achieved through our self-management efforts in the latter half of the year and some unused contingency funds allocated for our water bill. These savings allowed us to extend investments in repairs and maintenance, resulting in expenditures 6% higher than budgeted for our operating expenses, including some higher cost repairs to roofs, siding, parking, decks, and fences. While the savings from self-management were significant, this approach is unsustainable due to the high level of burden it places on the Board of Directors.

Last year, we also implemented a significant increase in our condominium fees (~36%) to fund major capital projects in the coming years, the first of which is the roadway replacement scheduled for next summer.

Looking Forward to 2025:

1. **Repairs and Maintenance:** We will continue to invest in critical repairs and maintenance with a 7% increase in the operating fund's repair and maintenance budget. This will support ongoing work on window replacements, roofing repairs, pest control efforts, and critical repairs of decks and fences.

2. **Lawn Care and Snow Removal:** Our lawn care and snow removal costs are expected to rise in line with inflation.
3. **Utilities:** Our utility budget will remain stable for the time being. Water usage, our single largest expense, will continue to have a small contingency fund. We observed a minor increase in usage and costs over the past year.
4. **Insurance:** Our insurance costs have decreased slightly while maintaining the same level of coverage, with a modest increase in the replacement estimate. The switch to a new insurance broker last year continues to benefit the corporation and all owners.
5. **Administrative Costs:** As mentioned , administrative costs were approximately \$10,000 under budget, primarily due to self-management. These funds will be reserved for contingencies in 2025, given the significant capital projects planned for the year. Our budgeted property management costs will increase in 2025 and 2026 as we transition back to an external property management firm in the spring.
6. **Reserve Fund Contributions:** Reserve fund contributions will increase by 6.5% in accordance with the most recent Reserve Fund Study recommendations. We have scheduled major capital investments in our roadways, driveways, curbs, and street lighting for 2025. Our current reserve fund is expected to cover these costs. Additionally, we will closely examine several building envelope issues and develop a plan to address them in the coming years.

The corporation began the year with net assets of \$40,000. A small amount of last year's surplus will be applied against the 2025 operating budget, while the remainder may be used as a contingency or to offset future fee increases. One reason for maintaining these net assets is to fund the annual insurance renewal with a lump sum payment due on January 1st, thereby avoiding the costs associated with borrowing funds or revolving credit.

Summary:

- Common Charges (Condo Fee Revenue) increasing 5.4% from \$528,036 to \$556,476.
- Operating Expenses increasing 2.9% from \$272,125 to \$279,936.
- Reserve Fund Contributions increasing 6.5% from \$260,828 to \$279,937.

The 5.4% fee adjustment required in 2025 represents an approximate increase of \$1 per day.

While we understand that the monthly fee is higher than many of us would like, the more aggressive contributions towards our reserve fund are required due to rising costs and inflation, historical underfunding, and to avoid a larger special assessment. You may

recall from our last Reserve Fund Study that the engineering recommendation was a \$30,000 special assessment to resolve Sandhamn's maintenance backlog, however the board opted for higher monthly fee options instead of the one-time payments.

For your reference and records, the enclosed budget details show the breakdown of operating expenses and the imperative Reserve Fund contributions.

To facilitate seamless fee payments, we offer the following payment options:

- **Pre-Authorized Payment Plan:** This is our preferred method of payment. If you are already enrolled, then no action is required for the 2025 fees. If you would like to enroll, please send an email to admin@ccc276.ca
- **Post-Dated Cheques:** Please send a series of twelve (12) cheques dated January 1st, 2025, through December 1st, 2025, payable to "Carleton Condominium Corporation No. 276". Please arrange for their delivery to a board member by emailing admin@ccc276.ca

Given recurring issues with past due payments for all owners paying by Interac eTransfers, and the additional overhead this requires of the board to manage these for this small group, eTransfers will no longer be accepted for 2025 payments. Please arrange for PAP or Post-Dated cheques as above.

Regards,

Chris Hendriks

President, Carleton Condominium Corporation No. 276

FY 2025
CCC 276 - BUDGET

	2024 Budget	2024 Act. Dec 1st	2024 Projected	2025 Budget	Comments
REVENUE					
Common Charges	528,036.17	528,036.17	528,036.17	556,476.00	5.39%
Special Assessment / Other	0.00	333.00	333.00	0.00	
TOTAL INCOME	528,036.17	528,369.17	528,369.17	556,476.00	

EXPENSES

UTILITIES					
Electricity	506.35	402.47	402.47	500.00	
Gas	1,156.14	589.25	589.25	250.00	Removed Gas Water Heater
Water	80,000.00	67,029.47	74,000.00	80,000.00	Maintain contingency on water.
TOTAL UTILITIES	81,662.49	68,021.19	74,991.72	80,750.00	

REPAIRS AND MAINTENANCE					
General Maintenance	60,000.00	56,345.18	57,000.00	60,000.00	maintain 60,000 general repairs
Chimney Cleaning	320.00				combined with General repairs
Landscaping	25,100.00	27,008.13	27,008.13	27,500.00	Based on 3 year contract
Snow Removal	19,500.00	19,218.64	19,218.64	20,500.00	Based on 3 year contract
Snow Removal Contingency	5,000.00	5,000.00	5,000.00	5,000.00	build snow removal contingency.
Pest Control		8,215.10	9,115.10	5,000.00	Added 5,000 pest control ongoing
TOTAL MAINTENANCE	109,920.00	115,787.05	117,341.87	118,000.00	

ADMINISTRATIVE					
Audit	5,100.00	5,100.00	5,100.00	5,253.00	
Insurance	40,000.00	40,000.00	41,000.00	36,000.00	reduced insurance premiums
Management Fees	31,195.46	19,375.29	20,000.00	32,137.20	
Office Printing and Postage	1,000.00	917.85	1,000.00	1,000.00	+ bank charges, cheque printing
Parking Control	1,800.00	1,762.80	1,909.70	1,820.00	
Professional Fees	500.00	175.00	175.00	4,000.00	planned for 2025 bylaw changes
Condo Authority Ontario	948.00	948.00	948.00	976.44	
TOTAL ADMINISTRATIVE	80,543.46	68,278.94	70,132.70	81,186.64	

Total Operating Costs	272,125.95	252,087.18	262,466.29	279,936.64	2.87%
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Reserve Contribution	260,828.00	260,828.00	260,828.00	277,781.82	6.50%
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Total Expenses	532,953.95	512,915.18	523,294.29	557,718.46	
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Current Profit/(Loss)	-4,917.78	15,453.99	5,074.88	-1,242.46	
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Beginning Surplus/(Loss)	5,480.00	5,480.00	5,480.00	10,554.88	
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Closing Surplus/(Loss)	562.22		10,554.88	9,312.42	
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